Innovation, entrepreneurship and business models 7: Disruptive innovation

Christian R. Østergaard

Today

- The lecture will focus on the fundamentals of structure and behavior in the innovation process, as well as on disruptive innovation. It will address key questions such as: Why do industries become disrupted? What are the effects of disruptive innovation? What strategies can companies employ to avoid being disrupted?

- Literature:
- Read the information on disruptive innovation on https://www.christenseninstitute.org/theory/disruptive-innovation/
  Watch the video on disruptive innovation
- *Tim Mazzarol, Sophie Reboud (2020) Entrepreneurship and Innovation: Theory, Practice and Context, 4th ed. Series: Springer Texts in Business and Economics. Chapter 9 and sections 10.1, 10.2 in chapter 10*

Role of customers in the innovation process

- Any investment in innovation should involve an in-depth assessment of the customers' needs and how the features and attributes of the proposed product will offer perceived value
- Collaboration with customers & users could help achieve this
- Close integration of the R&D and NPD process with the marketing and market development activities within the business
- Small firms typically enjoy close proximity with their customers
  - Easy access to information, but limited resources
- Large firms have lots of resources, collaboration and networks
  - bureaucratic, organizational and cultural factors can make it difficult for R&D and NPD teams to work closely with marketing and sales teams within the firm and with customers

Customers complained. So Burger King updated its Whopper

FEB 26, 2026

By Vanessa Yurkevich

Burger King unveils its enhanced Whopper, right, with includes a new bun, mayo and box after customers complained about the older version, seen on the left. *(Courtesy Bold Man Media/500 Degrees)*

https://edition.cnn.com/2026/02/26/business/burger-king-new-whopper

- Customer complaints triggered change–

Issues: smushed burgers, low-quality bun, lackluster experience.

– Led to new premium bun, creamier mayo, and sturdier clamshell packaging.

- Direct customer involvement

– President Tom Curtis personally took customer calls for two weeks.

– Feedback highlighted patterns (e.g., “fix the fries”) guiding future innovation.

– Request for higher-quality mayo and better packaging came from franchisees.

- Careful, incremental innovation

– Core product (beef patty) unchanged to avoid alienating loyal customers.

– Changes framed as an “upgrade,” not a reinvention.

- Testing and experimentation

– 7 months of testing buns, mayo, and packaging.

– Even unconventional ideas (e.g., upside-down burger build) were explored.

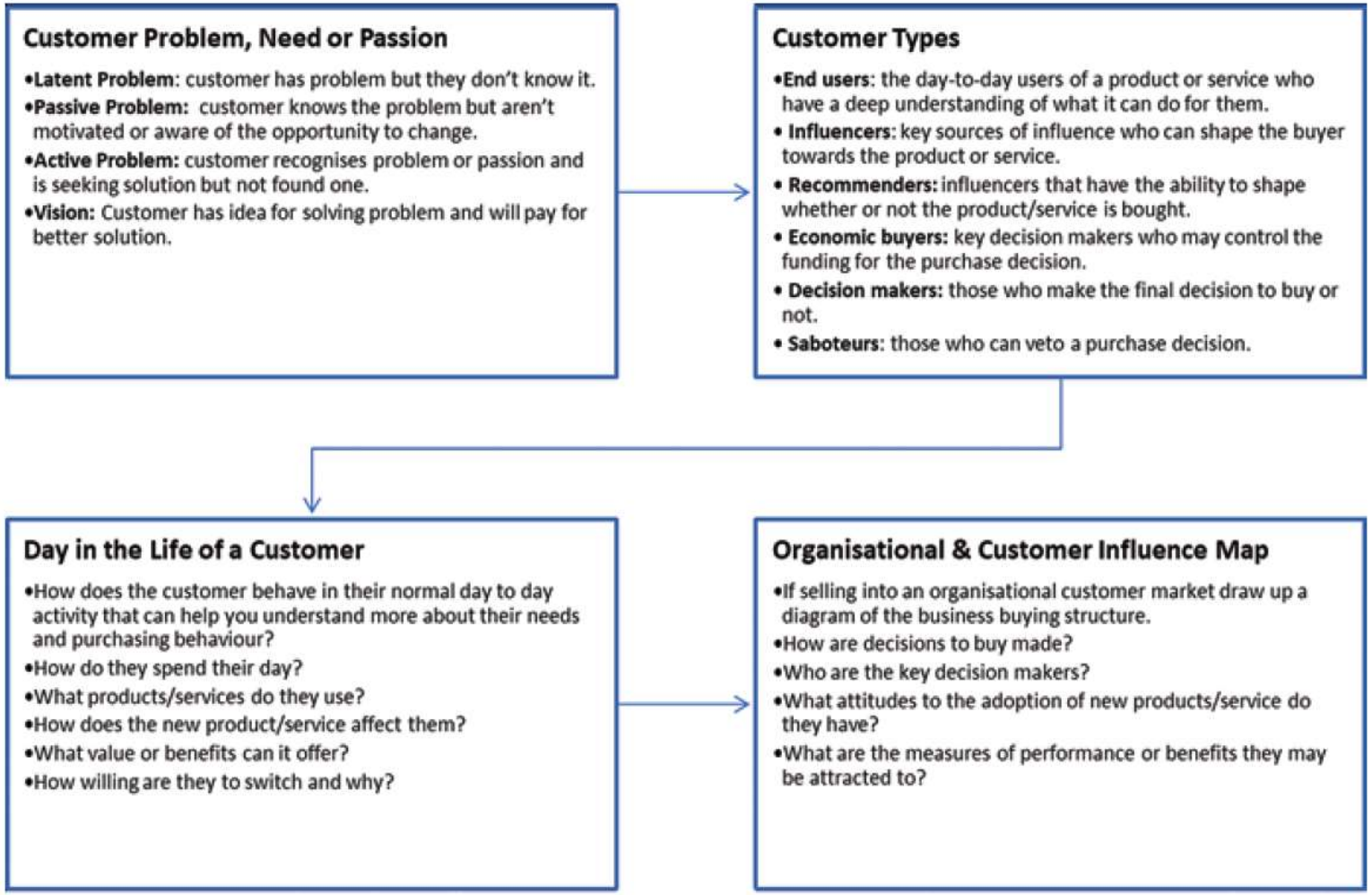


Fig. 10.3 Customer analysis process. (Source: adapted from Blank and Dorf 2012)

Failures – root causes

- failure to anticipate and act with sufficient speed to changes in the external market and industry environment
  - The ability of the firm to maintain a clear understanding of what their customers need and want, and the changes that are taking place within the external task environment.
  - (i) changes to industry structure and regulations; (ii) the convergence of existing market segments or even industries; (iii) changes to customer behaviours, needs, and demographics and; (iv) changes to incumbent business models; and (v) the impact of new technologies and market entrants
  - 'inward-looking' attitude and mindset within the firm's senior management.

Limits to customers in the innovation process

- The success or failure of a commercialisation process is often contingent on how well the project team understands the customer's needs and wants, as well as the context in which the customers/end-users will be using the product or service in their personal and professional lives.
- However, customers only know what they have experienced.
- They cannot imagine what they don't know about emerging technologies, new materials etc.
- They should therefore not be trusted to come up with solutions.
- Customers should only be asked for outcomes, what they want a new product or service do for them

How can firms improve their absorptive capacity?

- a) By investing in new machinery
- b) By hiring highly educated employees and investing in R&D
- c) By leveraging existing financial resources
- d) By establishing rigid boundaries between internal and external knowledge exchange
- e) By expanding their market share through aggressive advertising

Types of Innovation

Radical versus Incremental Innovation.

- The *radicalness* of an innovation is the *degree to which it is new and different* from previously existing products and processes.
- *Incremental innovations* may involve only a minor change from (or adjustment to) existing practices.
- The radicalness of an innovation is relative; it may change over time or with **respect to different observers**.

Problem for organisations: **How to deal with different types of innovations?**

- Radical versus Incremental Innovation.
  - The *radicalness* of an innovation is the *degree to which it is new and different* from previously existing products and processes.
- Competence-Enhancing versus Competence-Destroying Innovation.
  - **Competence-destroying** innovations renders a firm's existing competencies obsolete.
  - **Competence-enhancing** innovations build on the firm's existing knowledge base.
  - Whether an innovation is competence enhancing or competence destroying depends on the **perspective of a particular firm**.

Types of Innovation

Architectural versus Component Innovation.

- A **component innovation** (or modular innovation) entails changes to one or more components of a product system without significantly affecting the overall design.
  - For example, adding gel-filled material to a bicycle seat.

An **architectural innovation** entails changing the overall design of the system or the way components interact.

- For example, transition from high-wheel bicycle to safety bicycle.
- Most architectural innovations require changes in the underlying components also.

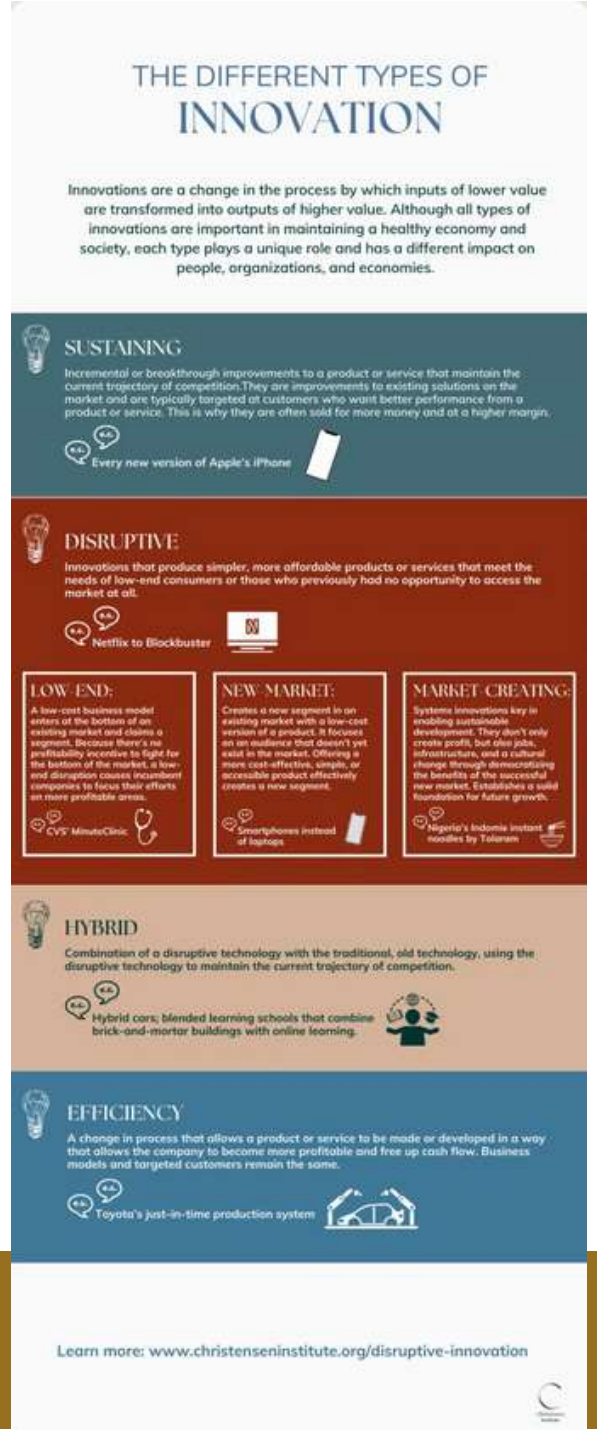
Disruptive, radical and architectual

- From chapter 6
- While most innovations are small and incremental, radical innovations stand out for their transformative impact.

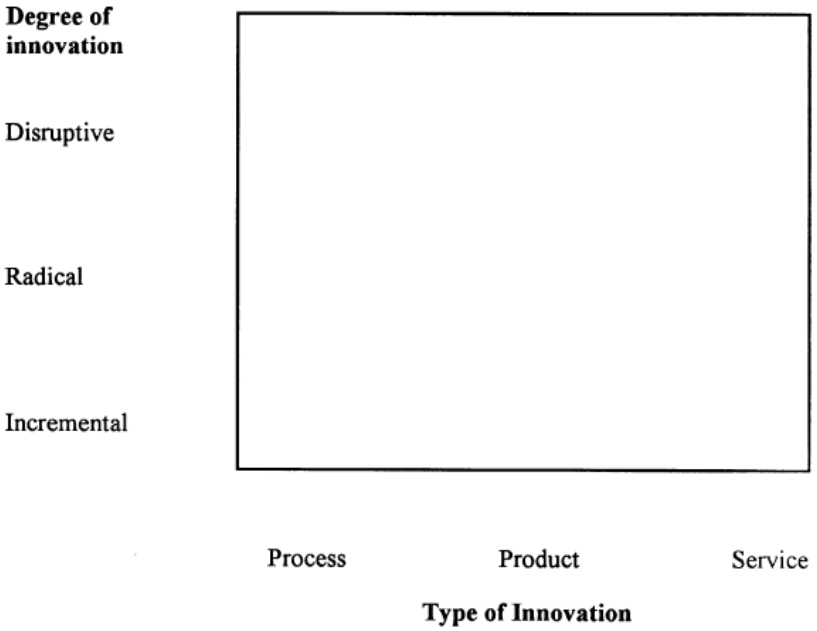
- These radical innovations necessitate two crucial conditions:
  - There must be a substantial alteration to the fundamental idea or essence of the product.
  - There must be a significant reconfiguration of the core components of the product.

Linkages between Core Concepts and Components	Core Concepts: Reinforced	Core Concepts: Overturned
Unchanged	Incremental Innovation	Modular Innovation
Changed	Architectural Innovation	Radical Innovation

R.M. Henderson & K.B. Clark (1990), Architectural Innovation: The Reconfiguration of Existing Product Technologies and the Failure of Established Firms, *Administrative Science Quarterly*, 35, pp. 9-30.



Understanding innovation: Novelty and impact



e 3. Innovation 'space': the type and degree of innovation.
e: Adapted from J. Tidd, J. Bessant and K. Pavitt (2001) *Managing Innovation: Integrating*

Table 1. Innovation and competitive advantage

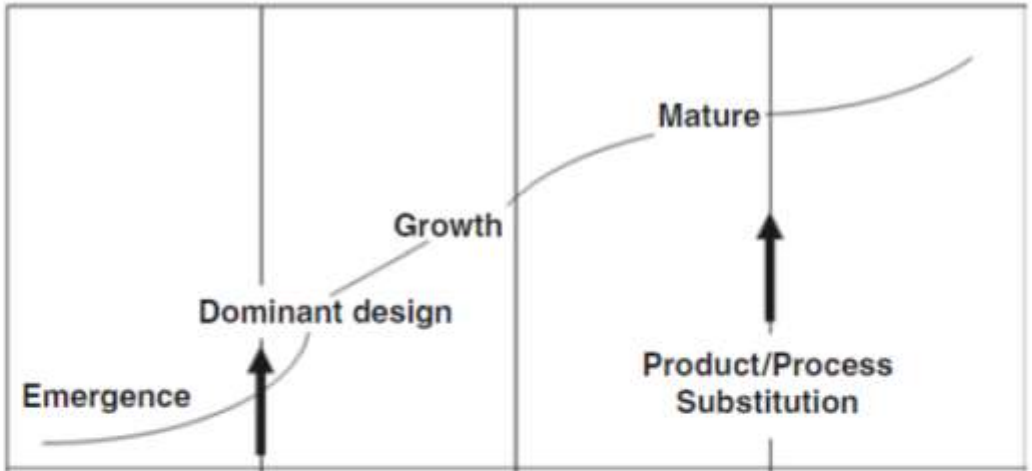
Type of innovation	Competitive advantage
Disruptive	Re-writing the rules of the competitive game, creating a new 'value proposition'
Radical	Offering a highly novel or unique product or service, premium pricing
Complex	Difficulty of learning about the technology keeps entry barriers high
Continuous incremental innovation	Continuous movement of the cost/performance frontier

Source: Adapted from J. Tidd, J. Bessant and K. Pavitt (2001) *Managing Innovation: Integrating Technological, Market and Organizational Change*, 2nd edition. Chichester: Wiley.

Discontinuous and disruptive innovation

- Firms and technologies may be displaced by a new, discontinuous technology.
- A **discontinuous** technology fulfills a similar market need by means of an entirely new knowledge base.
  - For example, switch from carbon vinyl records to compact discs or analog telecommunications to voice over IP.
- Technological **discontinuity** may initially have lower performance than incumbent technology.
  - For example, first automobiles were much slower than horse-drawn carriages.
- "**disruptive innovation**" are innovations that through the exploitation of new markets or market niches gradually undermine the position of existing business models (Christensen1997).
- Innovations that produce simpler, more affordable products or services that meet the needs of low-end consumers or those who previously had no opportunity to access the market at all.

Industry life cycle



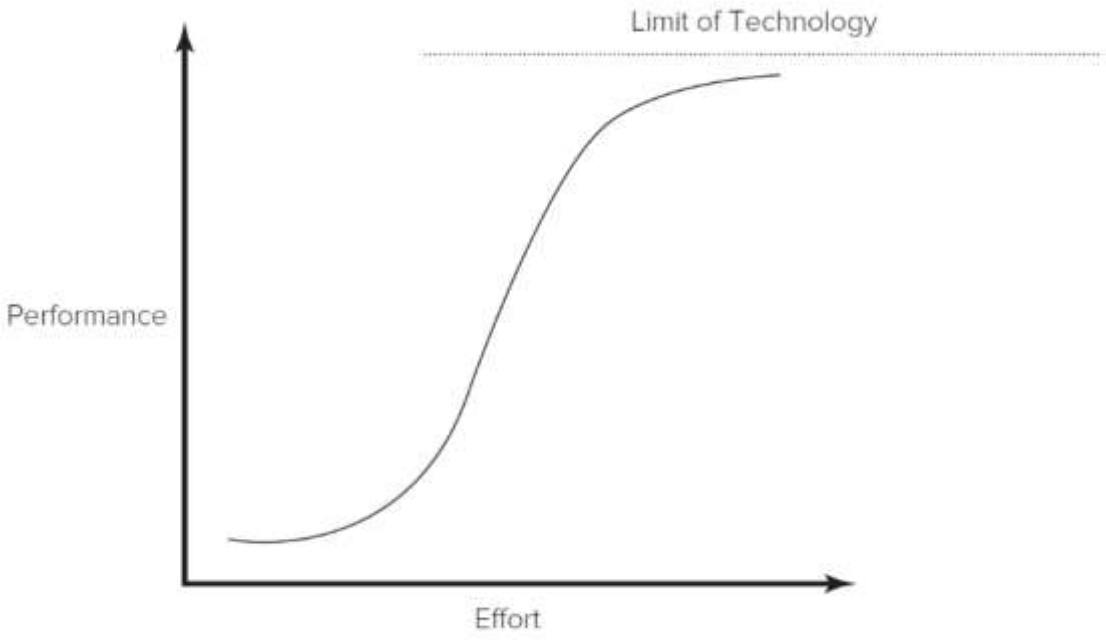
Dominant innovation types	Major Product Minor Process	Major Process Minor Product	Minor Product Minor Process	Major Product Minor Process
Learning requirements	High	High	Low	High

Fig. 1.10 Innovation lifecycles. (Source: Tushman and Nadler 1986)

Technology S-Curves

Both the rate of a technology's improvement, and its rate of diffusion to the market typically follow an s-shaped curve.

S-curves in Technological Improvement.



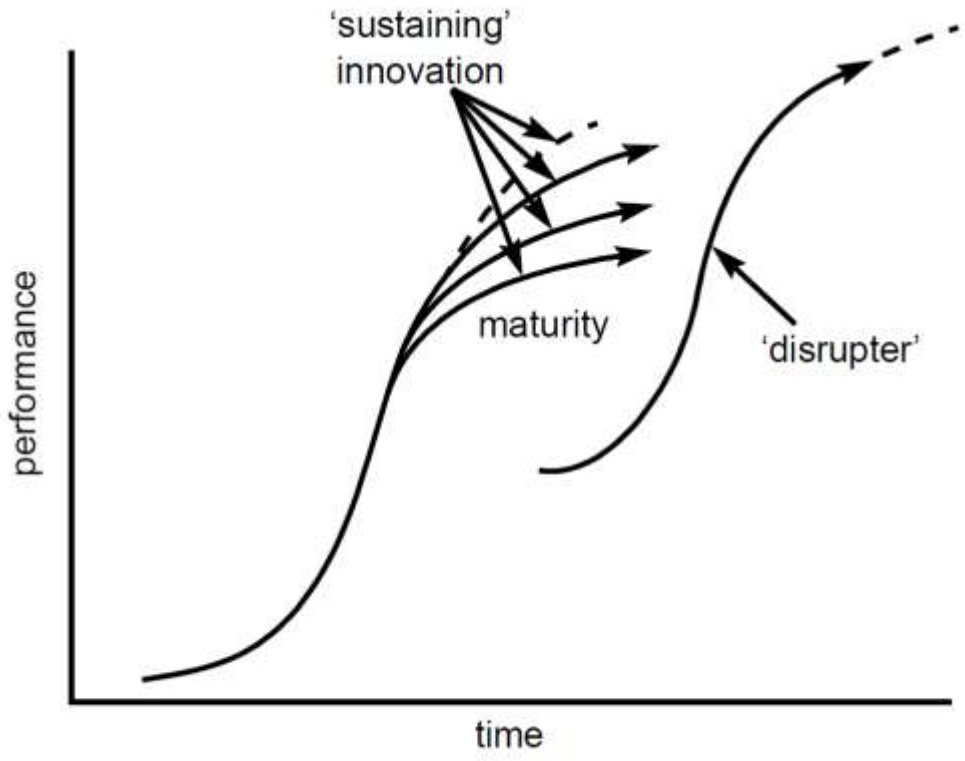
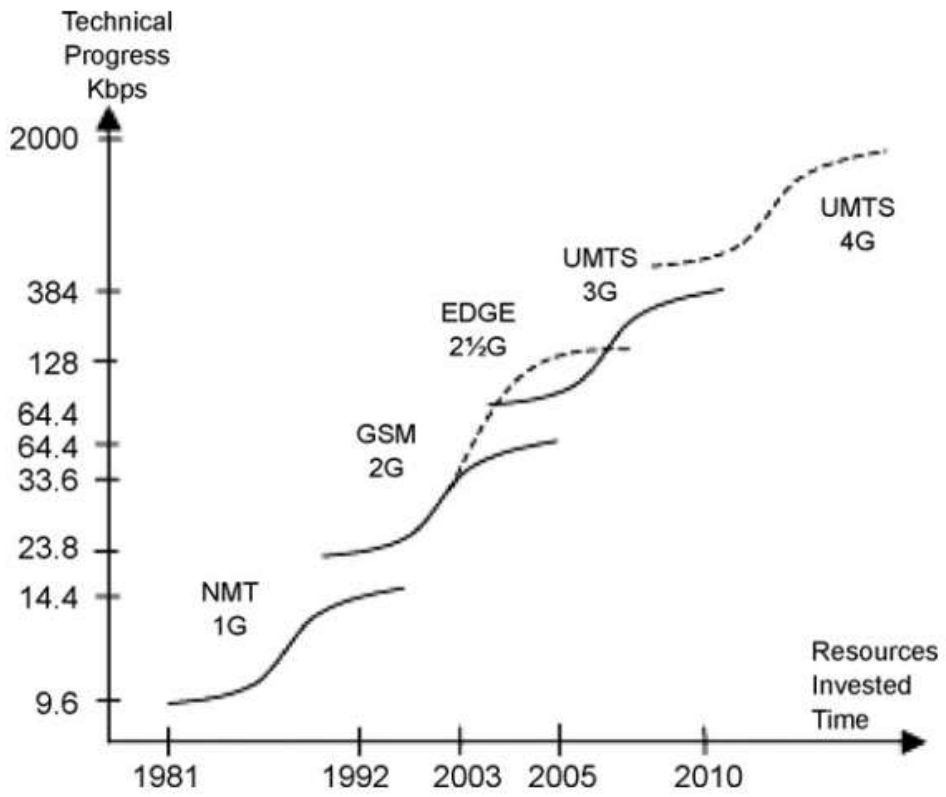


Fig 4 Double S curve showing disrupter.

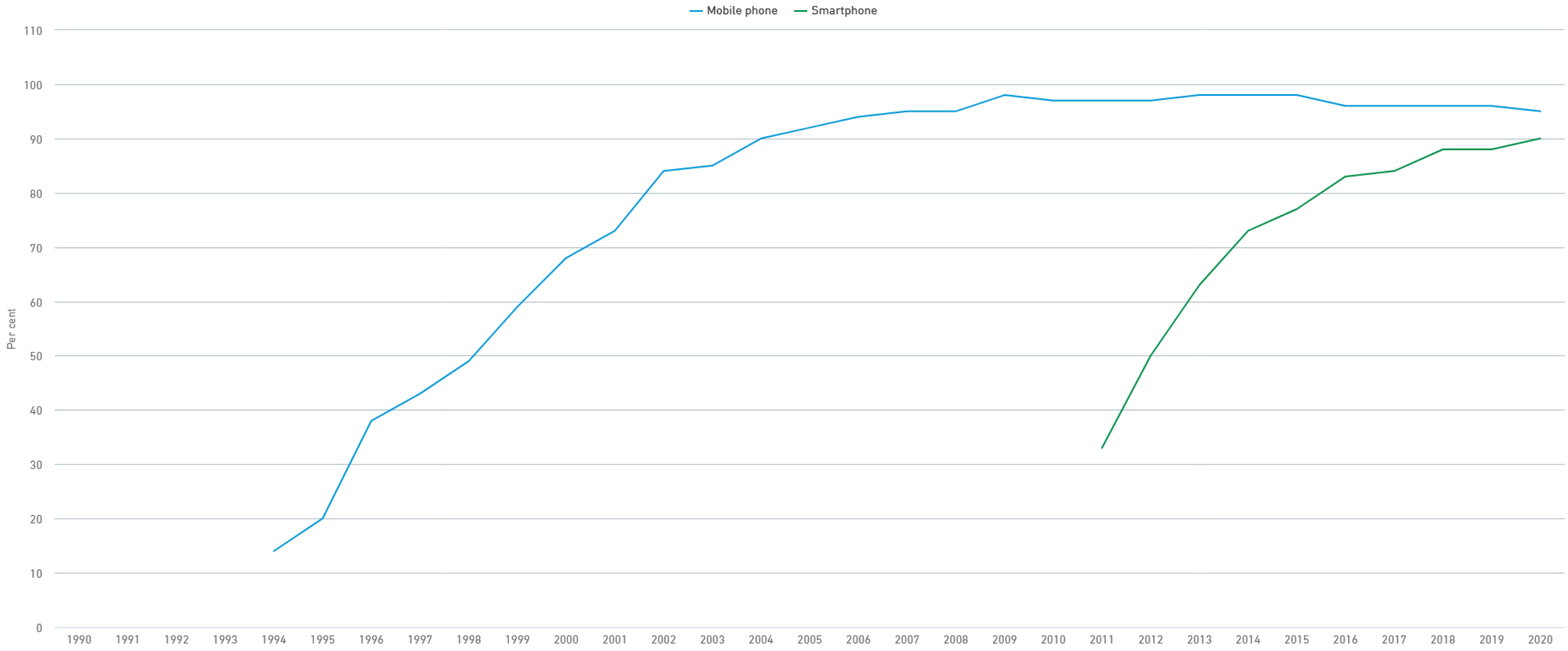
Technology S-Curves – mobile communication technologies



S. Ansari & R. Garud (2009), Inter-generational transitions in socio-technical systems: The case of mobile communications. *Research Policy*, *38*(2), 382-392.

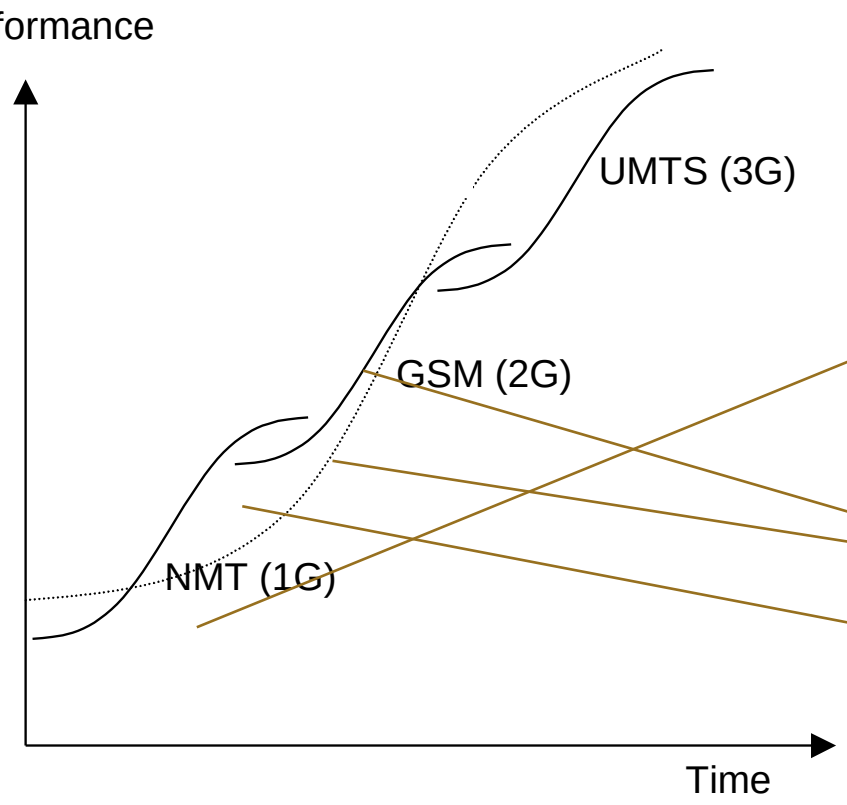
The families possession of home appliances

Type of consumption:



Source: Statistics Denmark

Technological life cycles in the mobile phone industry



Disruptive innovation

Christensen et al. (2015): Disruption is the process where entrants can challenge incumbent firms by targeting overlooked market segments.

Incumbent firms, focusing on serving the needs of high demanding (and profitable) customers, face the risk of overlooking how new entrants, initially focusing of less profitable – or non-existing - market segments, move upmarket - and in some cases end up disrupting the market with their innovation.

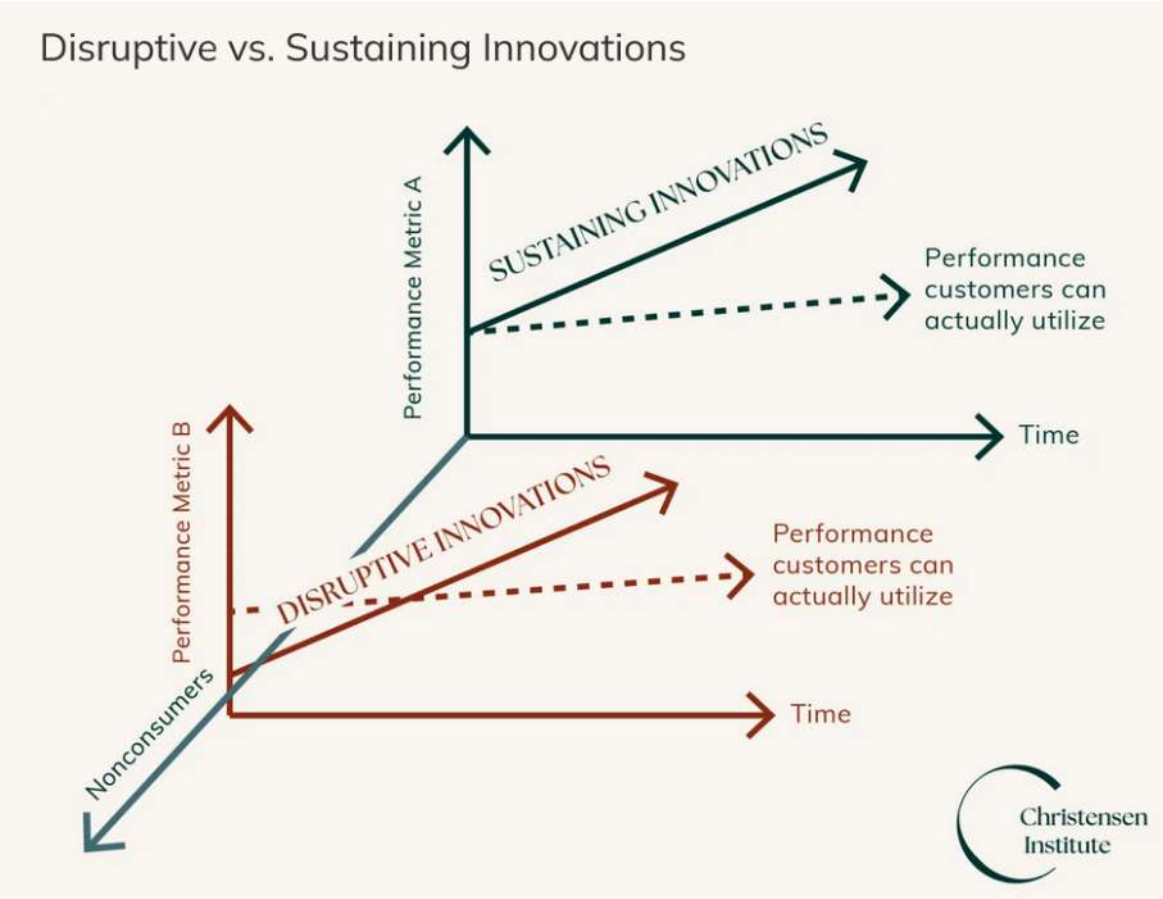
- Disruption is not a technology problem, it is a **business model problem**: it is the business model within which a technology is deployed that paralyzes incumbent leaders (Christensen, 2006, p. 43*)

I.e., disruptive innovations, by definition, start either from **"low-end footholds"** or from **"new-market footholds"**

* C.M. Christensen (2006), The ongoing process of building a theory of disruption. *Journal of Product Innovation Management*, 23, pp. 39-55.

Discontinuous and disruptive innovation

- Firms may be reluctant to adopt new technology because performance improvement is initially slow and costly, and they may have significant investment in incumbent technology.
- Customers don't really know how to respond to the new opportunity, and when asked to comment on a new radical innovation they find it difficult to know how to evaluate it.
- Christensen et al. (2002) suggest three critical tests:
  - Do the innovation target customers who in the past haven't been able to do it themselves' for lack of money or skills?
  - Is the innovation aimed at customers who will welcome a simple product?
  - Will the innovation help customers do, more easily and effectively, what they are already trying to do?



Is it really disruptive?

- To determine whether a product or service is disruptive relative to something else, ask these six questions, each of which indicates a potential disruption.

1. Does it target nonconsumers or people who are overserved by an incumbent's existing offering in a market?
2. Is the offering not as good as an incumbent's existing offering as judged by historical measures of performance?
3. Is the innovation simpler to use, more convenient, or more affordable than the incumbent's existing offering?
4. Does the offering have a technological enabler that can carry it upmarket and allow it to improve?
5. Is the technology paired with a business model innovation that allows it to be sustainable?
6. Are existing providers motivated to ignore the new innovation and are not threatened at the outset?

Disruptive innovation

- Example streaming
  - Moving from DVDs to streaming
- Experiments with pricing, subscription, ads/no ads, binge-dropping vs. weekly releases, licensed vs. original content
- Dominant design- the Netflix model- vertically integrated design (massive library and original series, monthly subscription)
- Now bundle deals, better algorithms, etc.
- But how was streaming a disruptive innovation?
-

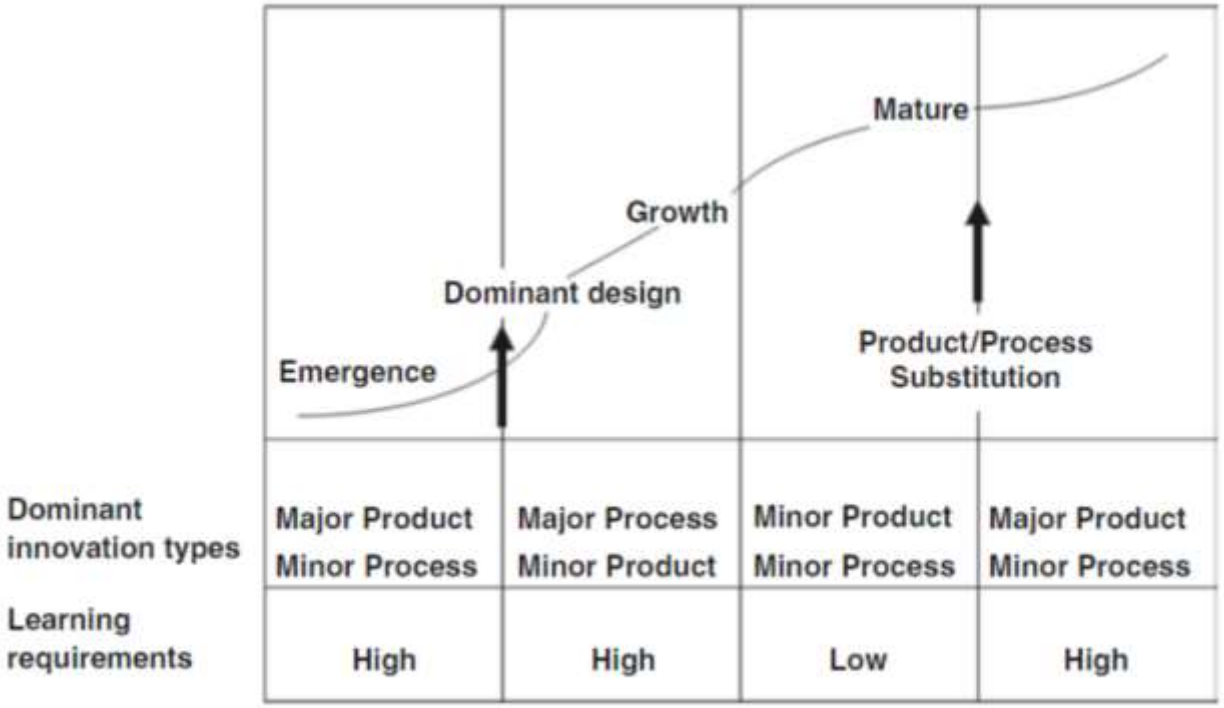


Fig. 1.10 Innovation lifecycles. (Source: Tushman and Nadler 1986)

Which sources of knowledge for innovation do firms most often use?

- a) Universities or other higher learning institutions
- b) Customers
- c) Consultants or commercial labs
- d) Competitors
- e) Suppliers of equipment, materials, components, or software
- f) Public-Private Partnerships

Disruptive technologies

Six issues are important when considering disruptive technologies:

- The pace of technological change in most industries outstrips the customers' ability to make use of improved versions of a product.
- Higher profit margins can be secured by moving products from lower yield markets to upmarket customer segments.
- the notion of providing incremental innovations to keep established markets satisfied with established technologies is not a disruptive process, but rather a sustaining one.
- established market players are likely to win if they choose to compete vigorously against new entrants – even if the new entrants launch new technologies. This is due to the stronger level of resources usually available to the established firms.
- disruptive technologies are often attractive to customers that are not themselves attractive to the established market players. This allows the new entrant firm to secure a niche.
- the opportunity for new growth can be found in disruptive technologies due to the lack of interest that is often shown by established firms towards such innovations.

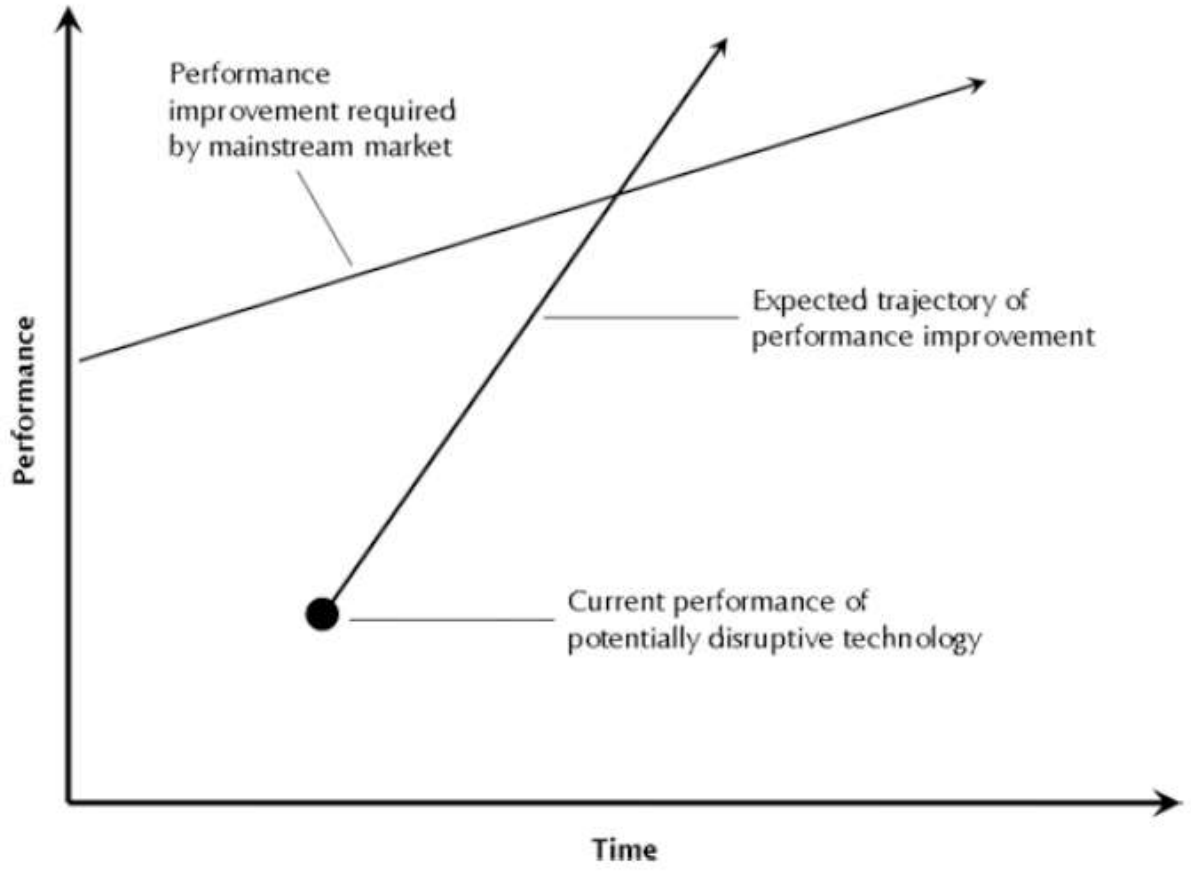


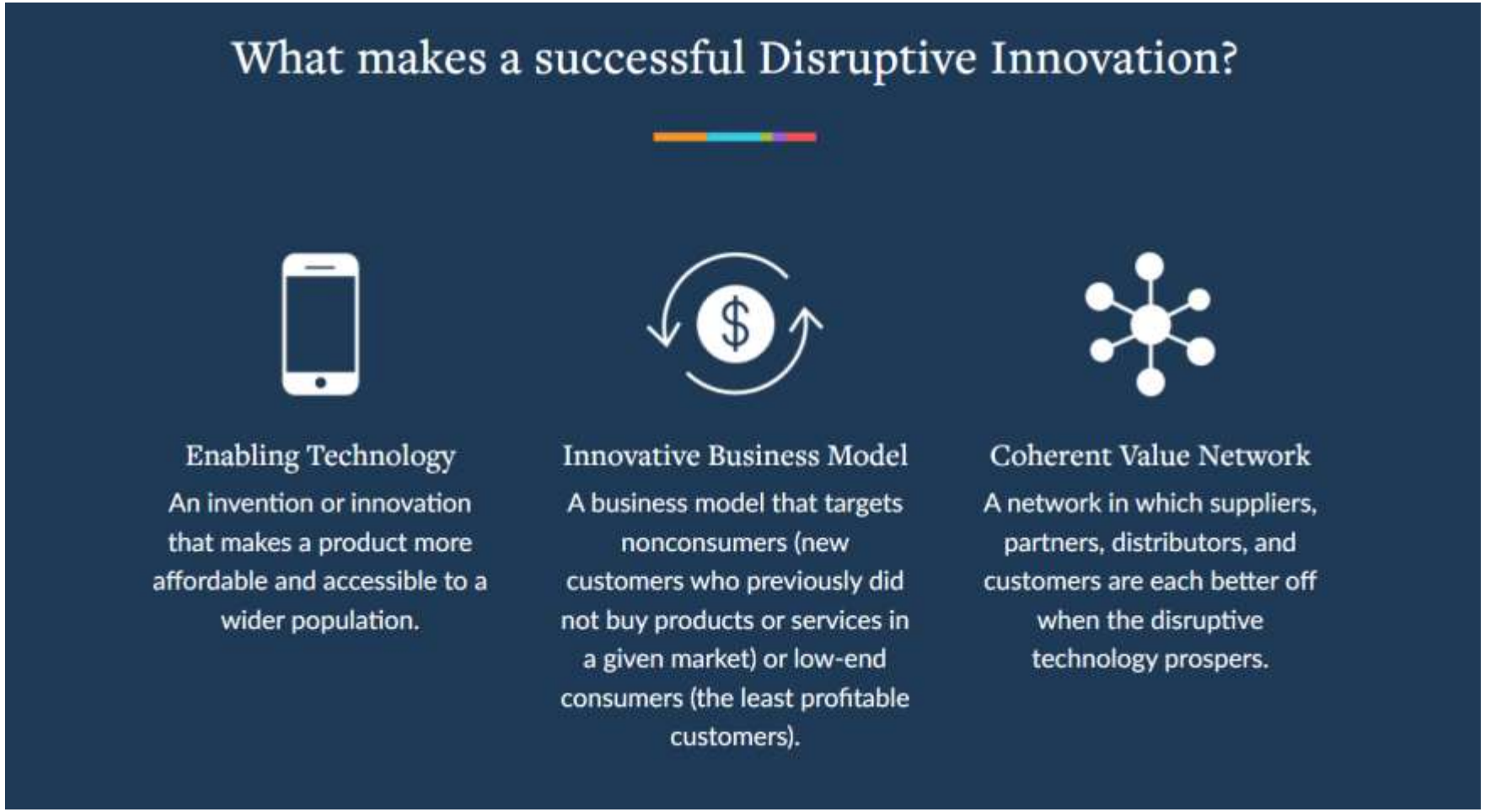
Fig. 9.7 How to assess disruptive technologies. (Source: Bower and Christensen 1995)

Exercise: electric vehicles (EVs)

- Use on the framework of Henderson and Clark (1990) to discuss the innovation of electric vehicles
- Discuss if electric vehicles can be considered a disruptive or radical innovation?
- Tesla Motors is often mentioned as a potential disruptor to the automobile industry
  - Discuss if Tesla can be argued to introduce disruptions t o industry

Linkages between Core Concepts and Components	Core Concepts: Reinforced	Core Concepts: Overturned
Unchanged	Incremental Innovation	Modular Innovation
Changed	Architectural Innovation	Radical Innovation

Disruptive innovation



https://www.christenseninstitute.org/disruptive-innovations/

Exercise

- Identify an example of a disruptive innovation and explain why it is disruptive and for whom

https://www.christenseninstitute.org/theory/disruptive-innovation/

Case Studies

+ Netflix vs. Blockbuster

+ Steel mini-mills vs. integrated mills

− Other notable examples of Disruptive Innovation

Toyota vs. American automakers

Toyota came with a cheap, tiny subcompact in the 1960s called the Corona, which General Motors and Ford ignored because they were making big cars for wealthier consumers.

Desktop vs. Minicomputers

Desktop computers placed enough computing power on the desk of everyone in a company, replacing the need for expensive, cabinet-sized computers for each department.

The winners of the smartphone boom think they know what the next big tech gadget is

1 HR 11 MIN AGO

By Lisa Eadicicco

Visitors stand at the Qualcomm kiosk at Bharat Mandapam, one of the venues for AI Impact Summit, in New Delhi, India, February 18, 2026. *(Bhawika Chhabra/Reuters)*

The next wave of tech devices may not have a screen. You might not realize that they're recording you. And you might not even realize they're tech gadgets at all.

How easy is it to find the winner?

- Each year, *Popular Science* magazine honours breakthrough innovations with their prestigious "Best of What's New" awards. Yet predicting which technologies will achieve market success remains notoriously difficult—even for expert judges.
- **The Challenge**
- You will review **10 actual BOWN award winners** from 2010–2019, randomly selected from a pool of 36 innovations
- Predict whether each became a **BOOM** (commercial success) or **BUST** (market failure)
- Each innovation has a 30-second decision window
- Every session presents different innovations in random order

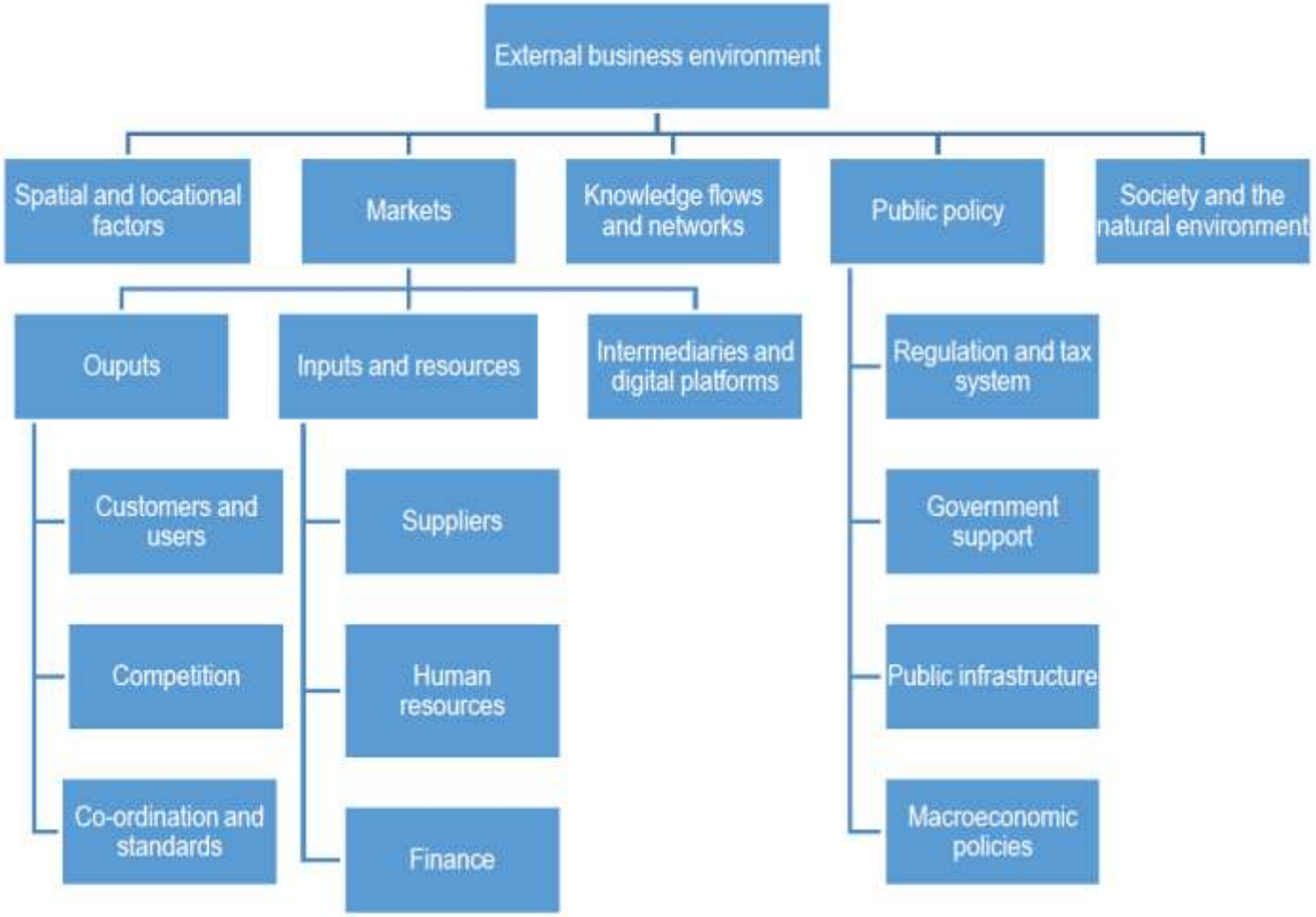
- https://ammonsalter-del.github.io/Boom-or-Bust/

- Created by Ammon Salter

Firm organistion: Strategic innovation management

- Opportunity recognition
  - Manager and management
  - Formalised R&D
- Resource accumulation and search
  - R&D spending
  - Absorptive capacity
  - Networks
  - Collaboration
  - Open innovation
- Capturing- capacity building
  - Strategy
  - IPR protection
  - Sales

Figure 7.1. Main elements of the external environment for business innovation



More on the Organisational Adoption of Technological Innovation

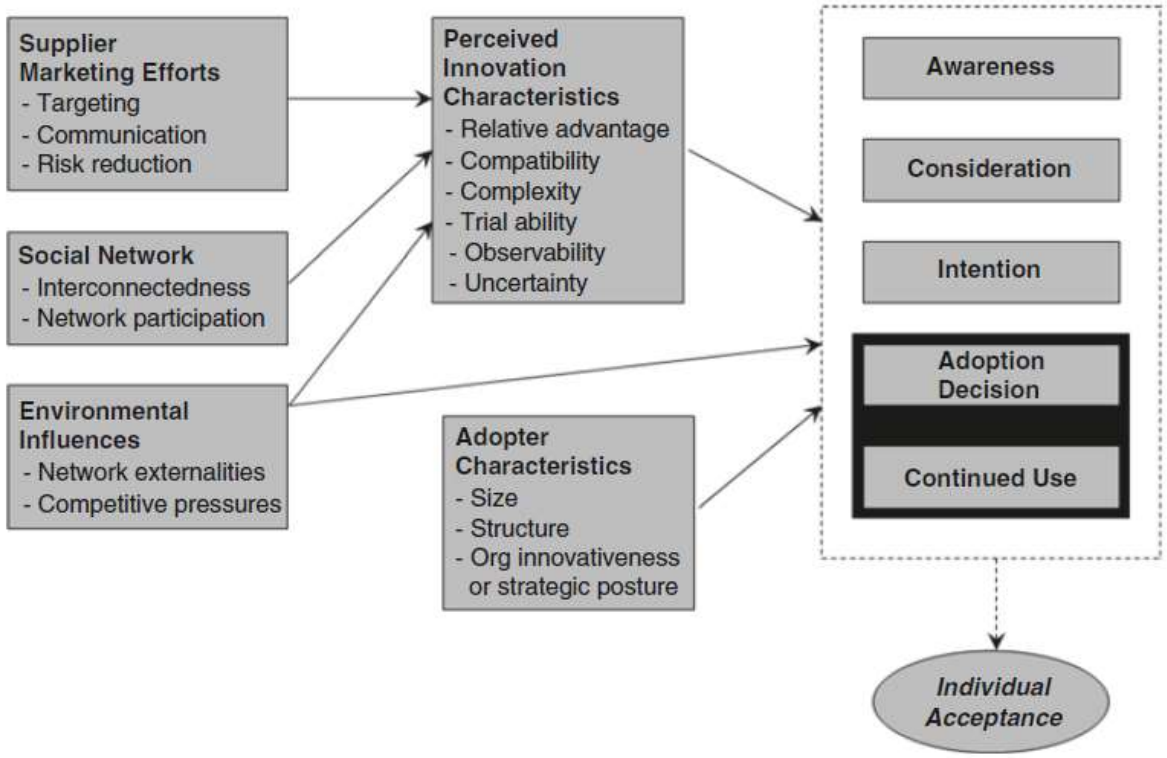


Fig. 9.10 Framework of organisational innovation adoption. (Source: Frambach and Schillewaert 2002)

Individual adoption behaviour

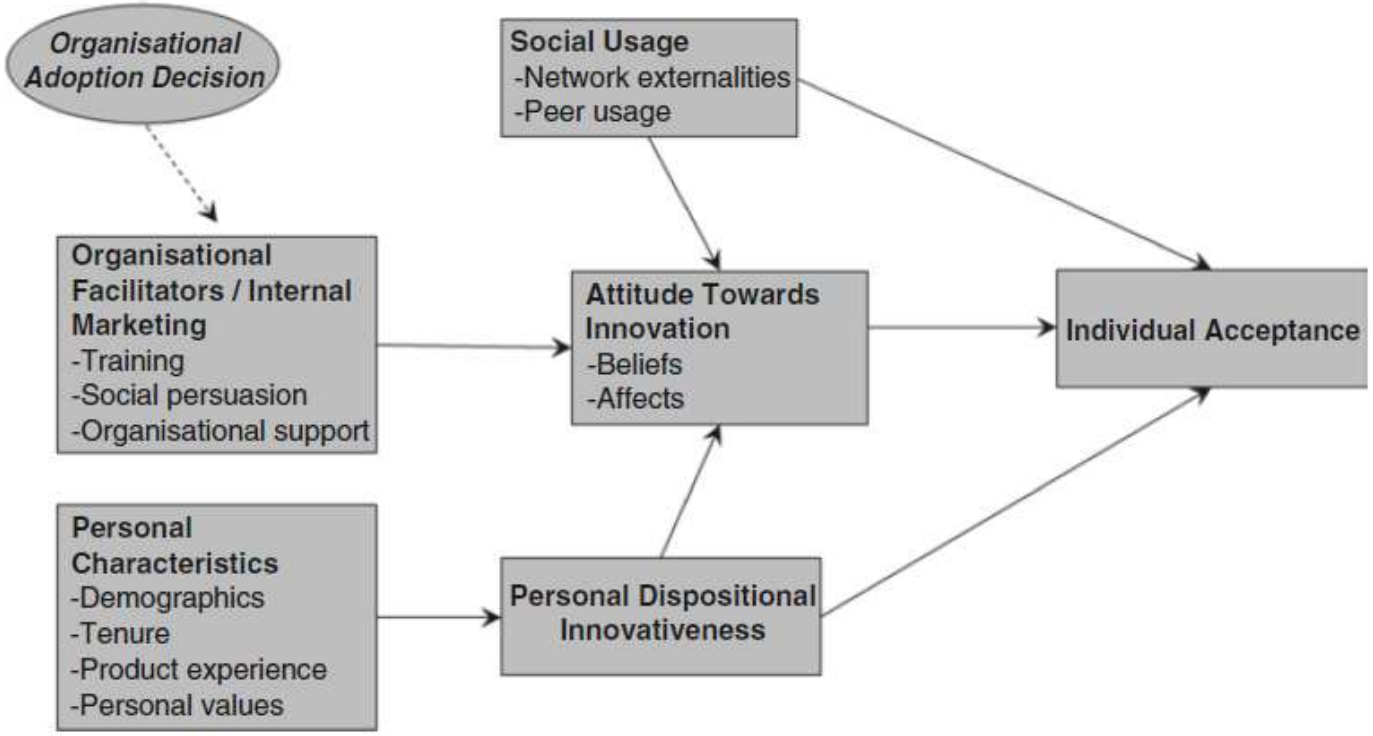


Fig. 9.11 A framework of individual innovation acceptance in organisations. (Source: Frambach and Schillewaert 2002)

Impact of new technologies: Strategic **technology** management

- The two primary challenges confronting managers are product expansion and technology substitution.
- As new technologies emerge, product expansion occurs, underscoring the importance of aligning focus with customer or market needs rather than solely on technological attributes of competing products for success.
- The problem of technology substitution
  - making a continuous search for the sources of new technologies and assess how likely they are to have a significant impact on the firm.
- Impact of new technologies? Like AI?

Strategic innovation management

- The process of bringing an innovative idea to market involves working through a new product development (NPD) process.
- Typically involves different stages
- The process of new product development requires attention to both the market and technical development issues.
- Cross functional teams
- Market testing and evaluation should also be an ongoing or continuous process that sees the firm closely engaged with its leading customers

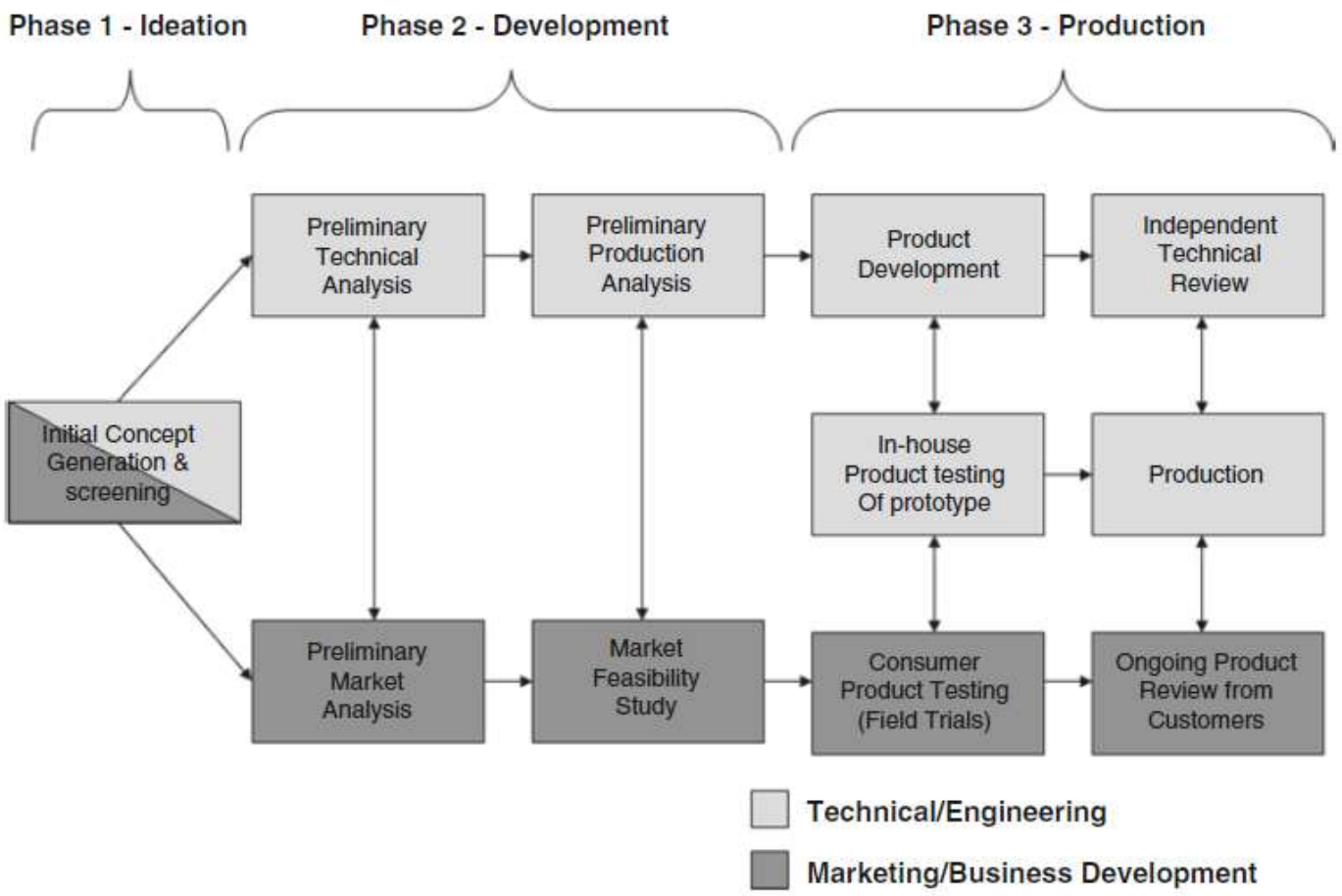


Fig. 9.15 New product development process model

- Cooper and Edgett (2009) suggest that there are four common denominators of best practice in NPD

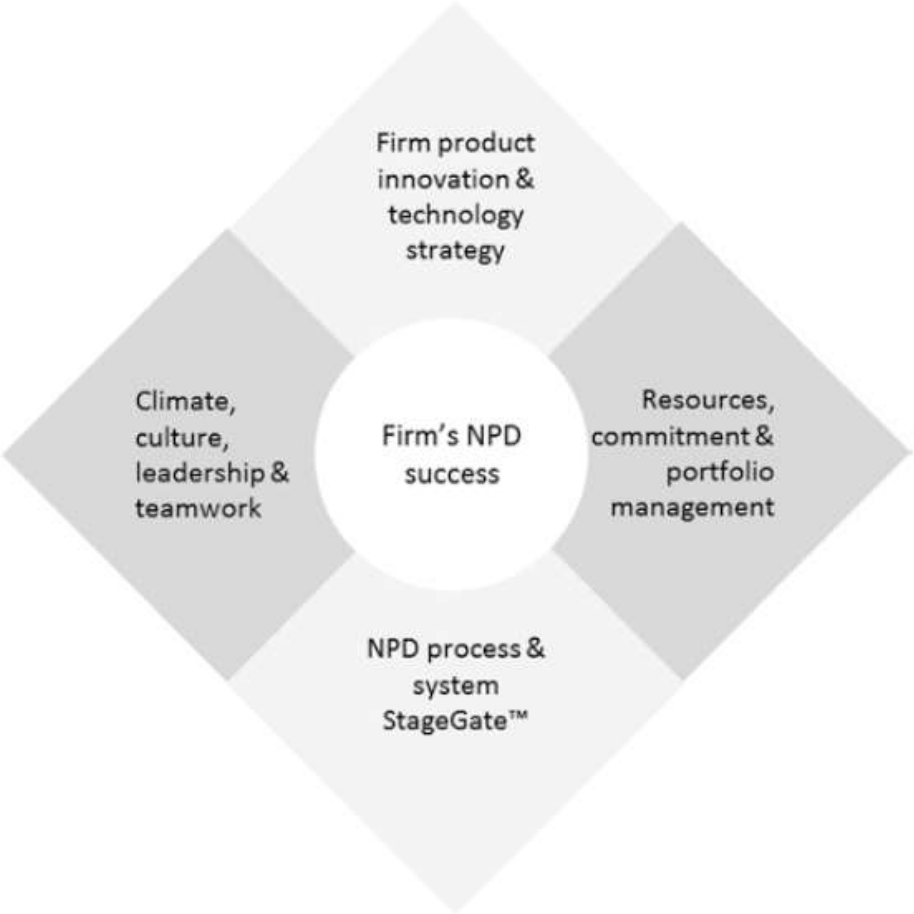


Fig. 9.20 The innovation diamond – four common denominators of best practice in NPD. (Source: Cooper and Edgett 2009)

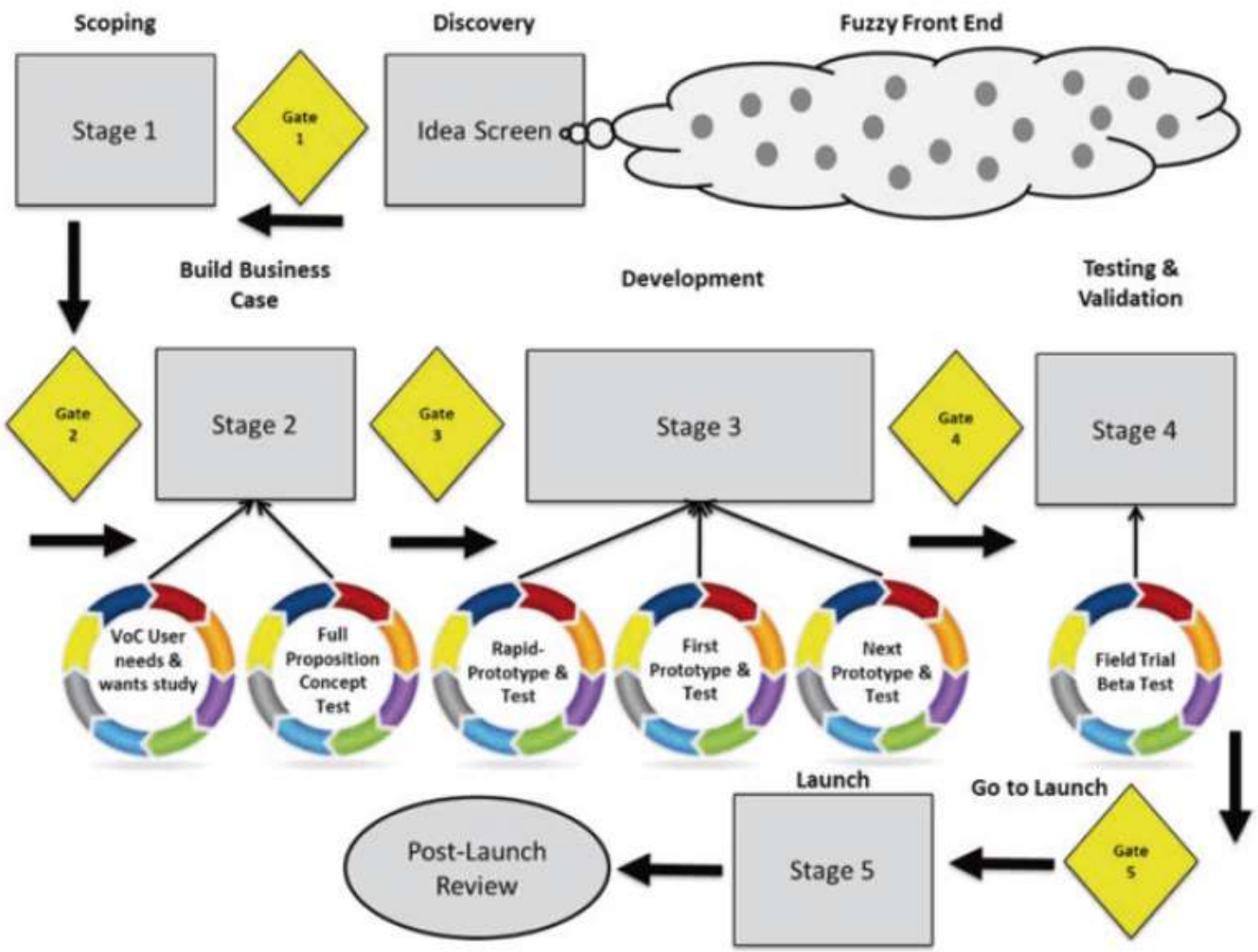


Fig. 9.17 The *Stage-Gate*® process of spiral development. (Source: adapted from Cooper and Edgett 2005)

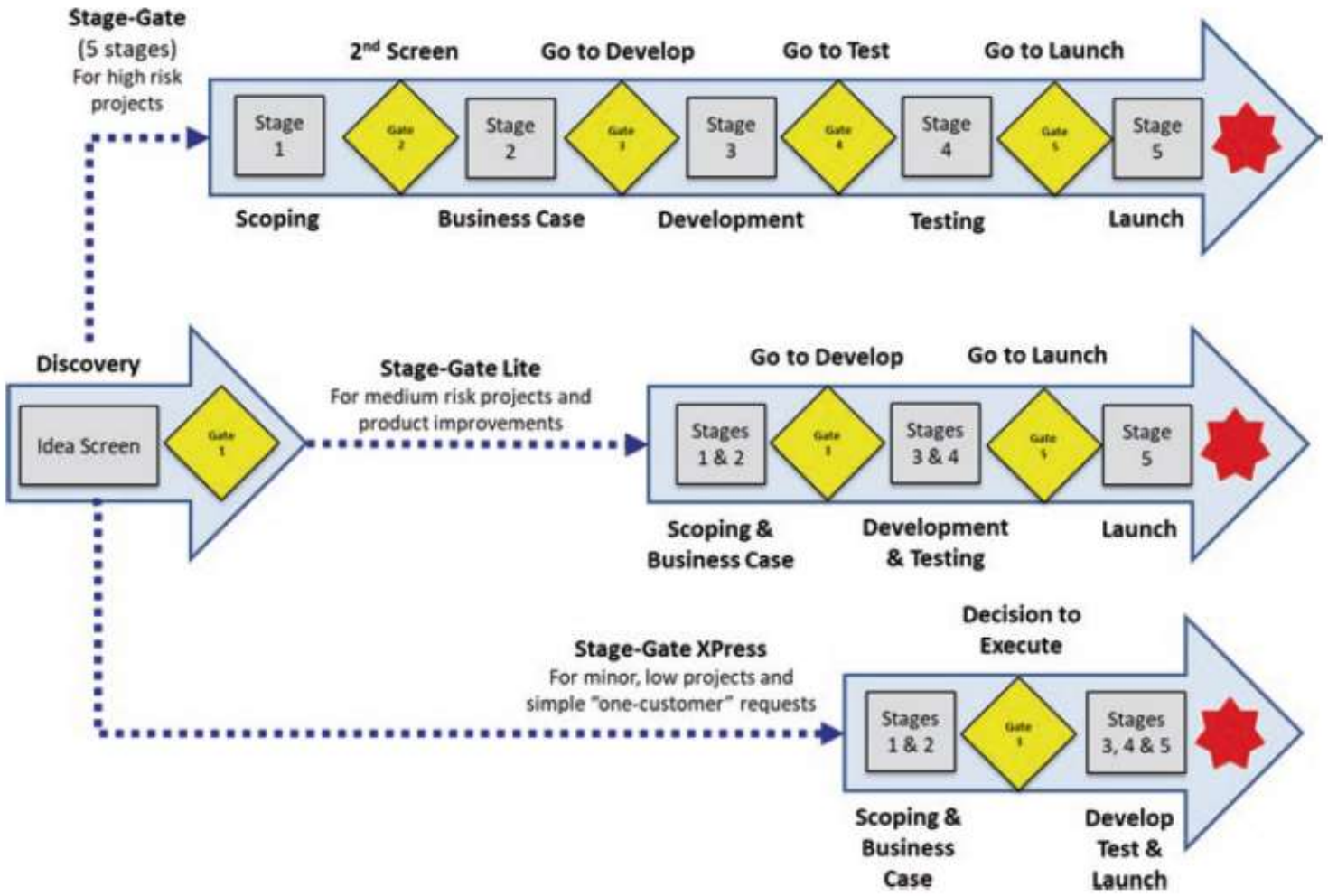


Fig. 9.18 The *Stage-Gate*® process evolved. (Source: adapted from Cooper 2019)

Consider the case of diffusion of electric vehicles (EVs), which strategies can be implemented to accelerate the diffusion process?

- a) Investing in charging infrastructure development
- b) Investing in bridges and road infrastructure
- c) Investing in creating a new dominant design
- d) Investing in marketing of EVs

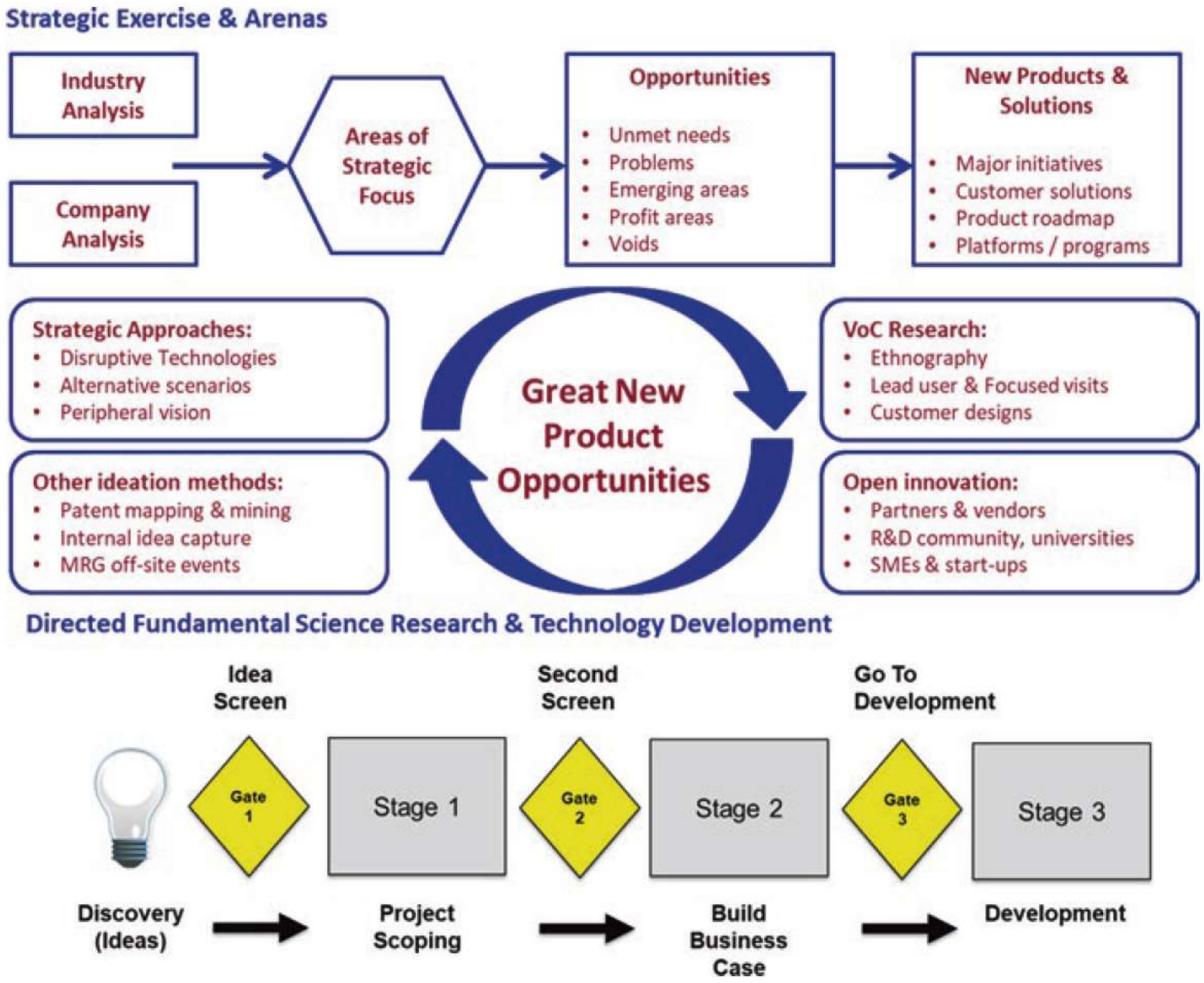
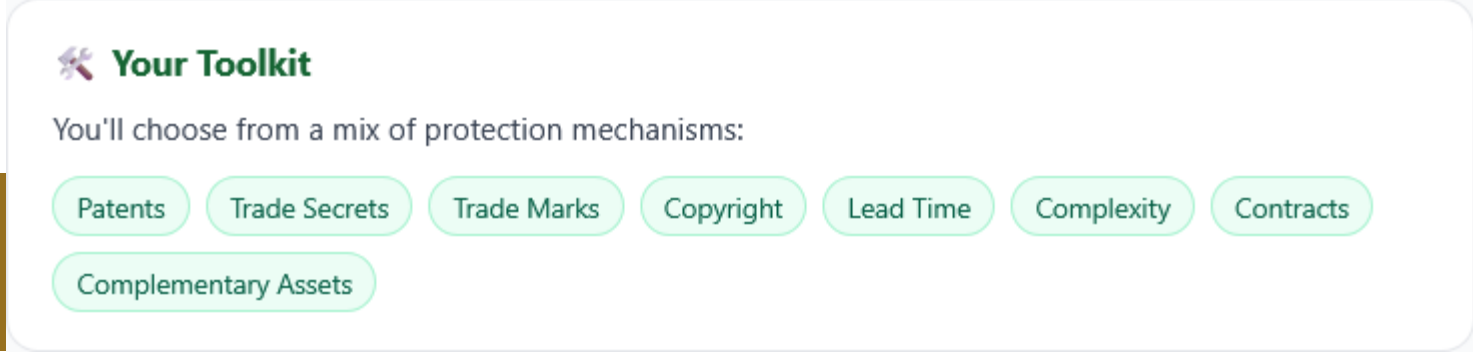


Fig. 10.15 The discovery stage for NPD. (Source: adapted from Cooper 2011; Cooper and Edgett 2005)

Appropriation Strategy Lab by Ammon Salter

- Every time a company creates something new, competitors want to copy it. The **appropriation strategy** is how firms protect and profit from their innovations.
- In this game, you'll face real-world scenarios and decide which combination of tools—patents, secrecy, contracts, brand-building, and more—best fits each situation.
- You'll face **10 scenarios** featuring different products and services. For each one, read the situation carefully—think about how easy it is to copy, what's visible to competitors, and what assets matter most.
- Then pick the strategy you think best captures value for the innovating firm. You'll earn points based on how well your choice fits the context!
- https://ammonsalter-del.github.io/Appro-strategy-lab/



What is one of the often used practices adopted by innovative firms to stay competitive?

- a. Maintaining a closed and secure innovation process
- b. Engaging in collaboration with external stakeholders
- c. Focusing on avoiding knowledge spill overs to competitors by internalizing their search process
- d. Following a Green Ocean Strategy and hiring creative individuals
- e. Focusing their investments in creating radical innovations

Which stages of the innovation lifecycle involves a shift in the industry from product innovation to process innovation?

a. Emergence
b. Growth
c. Mature
d. Revival

What have you learned today

- Role of the customer
- Sources of failures
- Disruptive innovation
- More on diffusion and adoption of innovation and technologies
- Strategic innovation management

Exercise: Disruptive innovation

1. Streaming: Netflix versus Blockbuster and many others

Netflix, an online DVD rental company that was predicted to fail numerous times

Netflix and its successful DVD rental business had almost 6.3 million subscribers by the end of 2006.

Despite this success, the company faced numerous challenges, including the entry of Walmart, Apple, and Amazon into the market.

Netflix responded to these challenges by introducing a new service to deliver movies and TV shows directly to users' PCs via streaming video, in addition to their DVD rental service.

Case1 : Netflix's introduction of streaming 2007

- Netflix, an online DVD rental company, has been subject to doomsday predictions several times in its history. In 2002, Wal-Mart announced its plan to enter the online DVD rental business, followed by the announcements of Apple and Amazon's movie-downloading services last year. Most recently, the company faced challenges with bringing Internet video content to TV sets. However, Netflix has thrived despite these predictions, ending 2006 with 6.3 million subscribers and nearly $1 billion in revenue, representing about 12% of the $8.4 billion annual DVD rental market.
- To address concerns about its future, Netflix is launching a new service that delivers movies and television shows directly to users' PCs through streaming video. The service, which is free to Netflix subscribers, allows the company to enter the embryonic world of Internet movie distribution. However, the move into digital distribution comes with challenges, as Netflix enters a crowded market that includes Apple, Amazon, MovieLink, CinemaNow, and video-on-demand services offered by cable companies.
- Netflix's competitive advantage in logistics, which has contributed to its success in the DVD rental market, is not as relevant in digital distribution. Nevertheless, Netflix CEO Reed Hastings believes the company's product compares well with competitors, particularly due to its business model and focus on instant gratification. The streaming technology used by Netflix is built on top of Microsoft software, and the service is expected to be introduced over six months, with the initial catalog consisting of about 1,000 movies and television shows.
- First-time users of the service must download a special piece of software, which takes only a few seconds, but technical issues may arise. The service is currently limited to recent versions of Windows and Internet Explorer, and only offers 18 hours of free watching every month to the bulk of Netflix's subscribers, who pay $18 a month and are allowed to keep three movies at home at all times.
- Netflix's future success in digital distribution remains uncertain, and its entry into this market has not been without challenges. However, the company's ability to adapt and thrive in the face of challenges should not be underestimated.

Objectives

- Discussion Questions:

1. How did Netflix respond to the challenges posed by new competitors entering the market?
2. What is the potential impact of Netflix's new streaming service on its existing DVD rental business?
3. What are the risks and benefits of expanding into a new market?
4. What can a company do in order to avoid a disruptive innovation or how to respond to a disruptive innovation?

Optional Long read: Netflix to Deliver Movies to the PC

- SAN FRANCISCO, Jan. 15 2007 — Wikipedia, the online encyclopedia, lists more than five dozen personalities whose obituaries were published prematurely. Someone may want to add Netflix to that list.
- The impending death of the company, with its online system for renting DVDs delivered by mail, was predicted late in 2002, when Wal-Mart said it would enter the business; again last year, when Apple and Amazon announced movie-downloading services; and again last week, after the introduction of a series of products and services intended to bring Internet video to television sets. But Wal-Mart left the online rental business in 2005 and now refers customers to Netflix. Meanwhile, none of the movie-downloading services have gained much traction with consumers, the notion of taking Internet video content to TV sets remains a work in progress, and Netflix keeps signing up new customers at a fast clip. It was expected to end 2006 with 6.3 million subscribers and nearly $1 billion in revenue, or about 12 percent of the $8.4 billion annual DVD rental market.
- "We've gotten used to it," Netflix's chief executive, Reed Hastings, said of the doomsday predictions. But Mr. Hastings also said he understood why questions about his business kept coming up. "Because DVD is not a hundred-year format, people wonder what will Netflix's second act be."
- On Tuesday, Mr. Hastings will begin to answer that question. Netflix is introducing a service to deliver movies and television shows directly to users' PCs, not as downloads but as streaming video, which is not retained in computer memory. The service, which is free to Netflix subscribers, is meant to give the company a toehold in the embryonic world of Internet movie distribution. But having a second act to talk about is not likely to end questions about Netflix's future. Netflix shares dropped 6.3 percent on Friday to $22.71 after a JPMorgan Securities analyst downgraded the stock, citing increased competition. They are down more than 12 percent since Jan. 1. And the company said last year that the service would cost it about $40 million in 2007, an outlook that has not sat well with some investors. "There's clearly a strong demand for watching movies," said Brian Pitz, an analyst with Banc of America Securities. "But the company's earnings are going to be more negatively impacted," said Mr. Pitz, who has a sell recommendation on Netflix shares.
- Netflix is also entering a more crowded market that includes not only the likes of Apple and Amazon, but also MovieLink, CinemaNow and video-on-demand services offered by cable companies. And while Netflix's DVD rental business has thrived in part because of the company's superior logistics, that competitive edge will not mean much in the world of digital distribution. Still, Mr. Hastings said Netflix has a product that compares well with those of his competitors. He particularly emphasized Netflix's business model — free to subscribers — and its focus on instant gratification. Last week, Mr. Hastings demonstrated the system at Netflix's headquarters in Los Gatos, Calif. On a laptop PC, he pulled up a Netflix Web page where some titles displayed a "Play" button in addition to the company's familiar "Add" button, which adds movies to a subscriber's queue for mailing. Within a few seconds of hitting the "Play" button, the opening credits of "The World's Fastest Indian" began rolling. The service uses streaming technology that Netflix built on top of Microsoft software.
- First-time users of the service must download a special piece of software, which, if all goes well, also takes only a few seconds. (When a reporter tried the system at home, however, the process stalled because of a mismatch between the version of Microsoft's antipiracy software expected by the Netflix viewer and the one loaded in the PC, and it took about 15 minutes to fix the problem with the help of a customer-support specialist. A Netflix spokesman said the problem was known, but occurred only rarely.)
- Like most other electronic distribution services, Netflix's system will work initially only with a limited catalog — about 1,000 movies and television shows, only a tiny fraction of the more than 70,000 titles that Netflix offers for rent. It offers titles from NBC Universal, Sony Pictures, MGM, 20th Century Fox, Paramount Pictures, Warner Brothers and others. The service, which will be introduced over six months, works only on recent versions of Windows and Internet Explorer. Over time, Mr. Hastings hopes to expand the catalog of titles and make the service available on other hardware and software combinations, including set-top boxes, television screens and portable devices. The bulk of Netflix's subscribers, who pay $18 a month and are allowed to keep three movies at home at all times, will receive 18 hours of free watching every month. Those with cheaper plans will have fewer free hours and those with premium services will receive more.

Case 2: Disruption in Denmark

- In 2012, the Danish film industry faced pressure to adapt to the digital film market of the future.
- Two major players, Blockbuster and Yousee, announced plans to enter the market with targeted digital ventures.
- Blockbuster planned to offer customers flexible subscription services for both physical and digital formats, while Yousee aimed to be Denmark's leading provider of online video services, inspired by the American video service Netflix.
- A study by the Green Research Institute showed that 19% of Danes were willing to pay more than DKK 150 a month for a video service with free access to movies and TV series, with a market potential of up to one billion kroner.
- Yousee was already Denmark's largest VOD provider, having rented out DKK 1.6 million in films over the net and reached 1.3 million screenings on the subscription service 100 Film in 2011. Experts praised Yousee for taking advantage of a first-mover advantage before major American players such as Apple, Amazon, or Netflix moved into Denmark. However, they were less optimistic about Blockbuster's chances, given that they come from a completely different place than the digital world.
- Overall, the move towards digital film represented a significant shift for the Danish film industry, which had previously been criticized for ignoring digital opportunities.

Additional background material – if needed

- Hard fight for the film customers of the future
- 2012 will be a crucial year for the development of the digital film market of the future, which is the way to prepare a pressured Danish film industry
- A tough battle is planned for the digital film market of the future in Denmark in 2012. Previously, the video chain Blockbuster announced that it is ready for a targeted digital venture, where customers buy free access to a wide range of films and TV series via the web. . Now Yousee is also entering the fight with an offensive announcement of a targeted bet on Video On Demand (VOD). "We want to be Denmark's leading provider of online video services. And we want to be there for the whole of Denmark - not just those who have a Yousee box at home, "says Deputy Director of Yousee, Ulf Lund.
- Market of one billion
- The announcement comes after Børsen yesterday wrote that the Danes' willingness to pay for film services online is clearly increasing. A new study, which the Green Research Institute has done for Børsen, shows that 19 per cent. of Danes are willing to pay more than DKK 150 a month for a video service with free access to movies and TV series. This in itself outlines a market potential of up to one billion kroner. In addition, a further 21 per cent. of the Danes are ready to pay between DKK 50 and 150. This is exactly the business potential they have spotted at Yousee. Not least with inspiration from the American video service Netflix, which has hit more than 20 million. American families. It is i.a. succeeded in reaching customers via PlayStation, X-box and smart TV. This avoids customers having to have a specific cable box or connect the computer to the TV to get the video titles on the flat screen. Exactly the same strategy they are now pursuing at Yousee. "Today, we are primarily active with those customers who have a Yousee box. But we want to be Denmark's Netflix. This means that we must go out and be available on several platforms already in 2012, "says Ulf Lund.
- Leaning to the USA
- Yousee is today Denmark's largest VOD provider. In 2011, a total of DKK 1.6 million was rented out. films over the net and in addition reached 1.3 million. screenings on the subscription service 100 Film, which was launched for plus customers in September. In comparison, Blockbuster rented approx. 6 mio. physical DVDs. It has not been possible today to get a comment from Blockbuster, but recently the video chain's Danish director Søren Heilmann came up with a similar offensive announcement to enter the online market. He has found that the DVD market is only going down and therefore going new ways. "The consumer will get a good indication of what awaits them if they stray to the US market, where Blockbuster now offers customers flexible subscription services for both the physical and digital formats," Søren Heilmann told Børsen in September. For a long time, experts have criticized that the players in the Danish market ignored the digital opportunities. That situation has now changed for the benefit of the entire Danish film industry.
- Mads Thimmer, an expert in e-commerce and director of the Innovation Lab, praises Yousee for going after the digital consumers before major American players such as Apple, Amazon or Netflix move into Denmark. "It's well seen and it's right now they can take advantage of a first mover advantage before the really heavy players come storming. They have a unique advantage in that they know the Danes' consumption pattern, and then they have a billable relationship with a large part of the Danes in advance, "says Mads Thimmer. On the other hand, he does not leave Blockbuster many chances. "They come from a completely different place than the digital world. Just look at the age of the computer they type movie titles into in stores. Blockbuster is a brand and nothing else, "says Mads Thimmer

Case 2 questions

1. How is Yousee's entry into the market an example of disruptive innovation
2. How is Blockbuster's response to the changing market an example of disruptive innovation?
3. How might Yousee maintain its first-mover advantage in the digital film market?